OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2026-O0006, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation—Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 30, Defense FAR Supplement (DFARS) Part 230

Effective immediately, this class deviation revises and supersedes Class Deviation 2026-O0006, issued on December 18, 2025. This revision implements section 1806 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2026 (Pub. L. 119-60).

Contracting officers must use—

- The revised FAR part 30, Cost Accounting Standards, published on the Revolutionary FAR Overhaul web page at https://www.acquisition.gov/far-overhaul/far-part-deviation-guide/far-overhaul-part-30 in lieu of the text codified at 48 CFR chapter 1 (https://www.ecfr.gov).

- The attached DFARS part 230, Cost Accounting Standards Administration, in lieu of the text codified at 48 CFR chapter 2; and

- The attached DFARS Procedures, Guidance, and Information (PGI) 230, Cost Accounting Standards Administration, in lieu of the PGI text published on the Defense Pricing, Contracting, and Acquisition Policy web page at https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html.

This class deviation implements the following:

- Section 2 of E.O. 14275, Restoring Common Sense to Federal Procurement, which establishes the policy that the FAR "should only contain provisions required by statute or essential to sound procurement", and any FAR provisions that do not advance these objectives should be removed.

- Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base which requires the Secretary of War to eliminate or revise any unnecessary supplemental regulations or any other internal guidance, such as relevant parts of the Financial Management Regulation and Defense Federal Acquisition Regulation Supplement.

- The Office of Management and Budget memorandum, M-25-26 issued on May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which provided additional guidance to federal agencies regarding the FAR overhaul.

- Section 1806 of the NDAA for FY 2026, which changes the applicability of cost accounting standards, increases the threshold for disclosure of cost accounting practices, and increases the cost accounting standards waiver threshold.

This class deviation remains in effect until rescinded or incorporated into the FAR, DFARS, and DFARS PGI. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dfars@mail.mil.

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John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and Acquisition Policy

Attachments:
As stated

PART 230—COST ACCOUNTING STANDARDS ADMINISTRATION

SUBPART 230.1—GENERAL

230.101 Cost accounting standards.

(d)(1) In lieu of the dollar values at 48 CFR 9903.202-1 to 9903.202-7 for disclosure requirements, replace $50 million with $100 million wherever it appears in accordance with 230.201-70(a)(1) (see section 1806(a)(2) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2026).

SUBPART 230.2——PRESOLICITATION

230.201-70 Applicability.

(a) In accordance with section 1806(a)(2) of the NDAA for FY 2026—

(1) In lieu of FAR 30.201(b) and the guidance at 48 CFR 9903.201-2(a), full Cost Accounting Standards (CAS) coverage applies to contractor business units that have only DoD contracts and subcontracts and that—

(i) Receive a single CAS-covered contract award of $100 million or more; or

(ii) Received CAS-covered contracts during its preceding cost accounting period with a net value of $100 million or more.

(2) In lieu of FAR 30.201(b) and the guidance at 48 CFR 9903.201-2(b), modified CAS coverage applies to contractor business units that have only DoD contracts and subcontracts and that—

(i) Receive a single CAS-covered contract award of less than $100 million; or

(ii) Received CAS-covered contracts during its preceding cost accounting period with a net value of less than $100 million.

(3) If a business unit has mixed DoD and other Federal contracts or subcontracts, then FAR 30.201(b) continues to apply.

(b) In lieu of FAR 30.201(d), the threshold for determining the tentative applicability of CAS at the contract level is the amount set forth in 41 U.S.C. 1502(b)(1)(B).

230.202-70 Waiver.

(a)(1) The military departments and the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment) may grant—

(i) CAS waivers that meet the conditions in FAR 30.202(b)(1); and

(ii) CAS waivers that meet the conditions in FAR 30.202(b)(2), provided the cognizant Federal agency official granting the waiver determines that—

(A) The property or services cannot reasonably be obtained under the contract, subcontract, or modification, as applicable, without granting the waiver;

(B) The price can be determined to be fair and reasonable without the application of CAS; and

(C) There are demonstrated benefits to granting the waiver.

(2) Follow the procedures at PGI 230.202-70(a)(1) for submitting waiver requests to the Principal Director, DPCAP.

(3) The military departments must not delegate CAS waiver authority below the individual responsible for issuing contracting policy for the department.

(b) By November 30th of each year, the military departments must provide a report to the Office of the Principal Director, DPCAP (Contract Policy) of all waivers granted under FAR 30.202(a) during the previous fiscal year for any contract, subcontract, or modification expected to have a value equal to or exceeding the amount at 230.201-70(a)(1)(i). See PGI 230.202-70(b) for format and required content. The Principal Director, DPCAP, will submit a consolidated report to the CAS Board.

230.204 Solicitation provisions.

(a) Insert the provision at FAR 52.230-1, Cost Accounting Standards Notices and Certification, with 252.230-7993, Alternate A, Cost Accounting Standards Notices and Certification, in solicitations for contracts to business units subject to CAS that have only DoD contracts and subcontracts (see 230.201-70 and 48 CFR 9903.201).

(b) Insert the provision at 252.230-7994, Proposal Disclosure—Cost Accounting Practice Changes, in lieu of the provision at FAR 52.230-7, Proposal Disclosure—Cost Accounting Practice Changes, in solicitations for contracts to business units subject to CAS that have only DoD contracts and subcontracts (see 230.201-70 and 48 CFR 9903.201).

230.205-70 Contract clauses.

(a) Insert the clause at FAR 52.230-2, Cost Accounting Standards, with 252.230-7995, Alternate A, Cost Accounting Standards, in negotiated contracts with business units that have only DoD contracts and subcontracts unless—

(1) The contract is exempted (see 48 CFR 9903.201-1);

(2) The contract is subject to modified coverage (see 230.201-70(a)(2)); or

(3) The clause prescribed in paragraph (c) or (e) of this section is used.

(b) Insert the clause at FAR 52.230-3, Disclosure and Consistency of Cost Accounting Practices, with 252.230-7996, Alternate A, Disclosure and Consistency of Cost Accounting Practices, in negotiated contracts with business units that have only DoD contracts and subcontracts when—

(1) The contract amount meets or exceeds the threshold at 230.201-70(b) but is less than the threshold at 230.201-70(a)(1); and

(2) The offeror certifies it is eligible for and elects to use modified CAS coverage (see 230.201-70(a)(2)), unless the clause prescribed in paragraph (c) or (e) of this section is used.

(c) Insert the clause at FAR 52.230-4, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns, with the clause at 252.230-7997, Alternate A, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns, in negotiated contracts with foreign concerns that have only DoD contracts and subcontracts, unless the contract is otherwise exempt from CAS (see 48 CFR 9903.201-1). Foreign concerns do not include foreign governments or their agents or instrumentalities.

(d) Insert the clause at FAR 52.230-6, Administration of Cost Accounting Standards, with the clause at 252.230-7998, Alternate A, Administration of Cost Accounting Standards, in contracts containing any of the clauses prescribed in paragraphs (a), (b), (c), or (e) of this section.

(e) Insert the clause at FAR 52.230-5, Cost Accounting Standards—Educational Institutions, with the clause at 252.230-7999, Alternate A, Cost Accounting Standards—Educational Institutions, in negotiated contracts awarded to educational institutions that have only DoD contracts and subcontracts, unless—

(1) The contract is exempted (see 48 CFR 9903.201-1);

(2) The contract is to be performed by an FFRDC (see 48 CFR 9903.201-2(c)(5), using the thresholds at 230.201-70(a)(1) or (a)(2) for full or modified CAS coverage, respectively); or

(3) The provision at 48 CFR 9903.201-2(c)(6) applies, using the thresholds at 230.201-70(a)(1) or (a)(2) for full or modified CAS coverage, respectively.

SUBPART 230.3——EVALUATION AND AWARD

230.301 Contractor disclosure statements.

(a) In lieu of the dollar values at 48 CFR 9903.201-3 and 9903.202, replace $50 million with $100 million wherever it appears in accordance with 230.201-70(a)(1)).

230.370 Evaluation and award.

Use the provisions prescribed at 230.204 and clauses prescribed at 230.205-70.

230.470 Postaward.

Use the clauses prescribed at 230.205-70.

PART 252—SOLICITATION PROVISIONS AND CONTRACT CLAUSES

SUBPART 252.2——TEXT OF PROVISIONS AND CLAUSES

252.230-7993 Alternate A, Cost Accounting Standards Notices and Certification. (DEVIATION 2026-O0006)
As prescribed at 230.204(a), use the following provision:

ALTERNATE A, COST ACCOUNTING STANDARDS NOTICES AND CERTIFICATION (JUL 2026) (DEVIATION 2026-O0006)

The following applies to business units subject to Cost Accounting Standards (CAS) that have only DoD contracts and subcontracts (see Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70 and 48 CFR 9903.201):

(a) Substitute the thresholds for full and modified CAS coverage at DFARS 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the provision at Federal Acquisition Regulation (FAR) 52.230-1, Cost Accounting Standards Notices and Certification.

(b) Substitute $100 million for $50 million wherever it appears in the provision at FAR 52.230-1.

(c) Substitute “DFARS 230.205-70(b)(1)” for the reference to FAR 30.205(b) wherever it appears in the provision at FAR 52.230-1.

(End of provision)

252.230-7994 Alternate A, Proposal Disclosure—Cost Accounting Practice Changes. (DEVIATION 2026-O0006)
As prescribed at 230.204(b), use the following provision:

ALTERNATE A, PROPOSAL DISCLOSURE—COST ACCOUNTING PRACTICE CHANGES (JUL 2026) (DEVIATION 2026-O0006)

(a) The Offeror must check "yes" if the contract award will result in a required or unilateral change in cost accounting practice, including unilateral changes requested to be desirable changes:

□ Yes □ No

(b) If the Offeror checked "Yes" in paragraph (a) of this provision, the Offeror must—

(1) Prepare the price proposal in response to the solicitation using the changed practice for the period of performance for which the practice will be used; and

(2) Submit a description of the changed cost accounting practice to the Contracting Officer and the Cognizant Federal Agency Official as pricing support for the proposal.

(End of provision)

252.230-7995 Alternate A, Cost Accounting Standards. (DEVIATION 2026-O0006)
As prescribed at 230.205-70(a), use the following clause:

ALTERNATE A, COST ACCOUNTING STANDARDS (JUL 2026) (DEVIATION 2026-O0006)

(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-2, Cost Accounting Standards.

(b) Substitute "DFARS 230.205-70" for the reference to FAR 30.205 in paragraph (d) of the clause at FAR 52.230-2.

(c) Substitute "DFARS 230.205-70(b)(1)" for the reference to FAR 30.205(b) in paragraph (d) of the clause at FAR 52.230-2.

(End of clause)

252.230-7996 Alternate A, Disclosure and Consistency of Cost Accounting Practices. (DEVIATION 2026-O0006)
As prescribed at 230.205-70(b), use the following clause:

ALTERNATE A, DISCLOSURE AND CONSISTENCY OF COST ACCOUNTING PRACTICES (JUL 2026) (DEVIATION 2026-O0006)

(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-3, Disclosure and Consistency of Cost Accounting Practices.

(b) Substitute "DFARS 230.205-70" for the reference to FAR 30.205 in paragraph (d)(1) of the clause at FAR 52.230-3.

(c) Substitute "DFARS 230.205-70(b)(1)" for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at FAR 52.230-3.

(End of clause)

252.230-7997 Alternate A, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns. (DEVIATION 2026-O0006)
As prescribed at 230.205-70(c), use the following clause:

ALTERNATE A, DISCLOSURE AND CONSISTENCY OF COST ACCOUNTING PRACTICES—FOREIGN CONCERNS (JUL 2026) (DEVIATION 2026-O0006)

(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-4, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns.

(b) Substitute "DFARS 230.205-70" for the reference to FAR 30.205 in paragraph (d)(1) of the clause at FAR 52.230-4.

(c) Substitute "DFARS 230.205-70(b)(1)" for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at FAR 52.230-4.

(End of clause)

252.230-7998 Alternate A, Administration of Cost Accounting Standards. (DEVIATION 2026-O0006)
As prescribed at 230.205-70(d), use the following provision:

ALTERNATE A, ADMINISTRATION OF COST ACCOUNTING STANDARDS (JUL 2026) (DEVIATION 2026-O0006)

(a) Substitute "252.230-7995, Alternate A, Cost Accounting Standards" for the reference to FAR 52.230-2, Cost Accounting Standards, wherever it appears in the clause at FAR 52.230-6, Administration of Cost Accounting Standards.

(b) Substitute "252.230-7996, Alternate A, Disclosure and Consistency of Cost Accounting Practices" for the reference to FAR 52.230-3, Disclosure and Consistency of Cost Accounting Practices, wherever it appears in the clause at FAR 52.230-6.

(c) Substitute "252.230-7997, Alternate A, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns" for the reference to FAR 52.230-4, Disclosure and Consistency of Cost Accounting Practices—Foreign Concerns, wherever it appears in the clause at FAR 52.230-6.

(d) Substitute "252.230-7999, Alternate A, Cost Accounting Standards—Educational Institutions" for the reference to FAR 52.230-5, Cost Accounting Standards—Educational Institutions, wherever it appears in the clause at FAR 52.230-6.

(End of clause)

252.230-7999 Alternate A, Cost Accounting Standards—Educational Institution. (DEVIATION 2026-O0006)
As prescribed at 230.205-70(e), use the following provision:

ALTERNATE A, COST ACCOUNTING STANDARDS—EDUCATIONAL INSTITUTION (JUL 2026) (DEVIATION 2026-O0006)

(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-5, Cost Accounting Standards—Educational Institution.

(b) Substitute "DFARS 230.205-70(b)(1)" for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at 52.230-5, Cost Accounting Standards—Educational Institution.

(End of clause)

PART 230—COST ACCOUNTING STANDARDS ADMINISTRATION

PGI 230.2—Presolicitation

PGI 230.202-70 Waiver.

(a)(1)(i) Unless otherwise authorized by the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), the military departments must submit each CAS waiver request to DPCAP (Price, Cost and Finance) for review at least 14 days before granting the waiver. Submit waiver requests via email at *osd.pentagon.ousd-a-s.mbx.dpc-pcf@mail.mil.*

(ii) DoD contracting activities that are not within a military department must submit CAS waiver requests that meet the conditions in FAR 30.202(b) to the Principal Director, DPCAP for approval at least 30 days before the anticipated contract award date.

(b) The annual report of exceptional case CAS waivers must include the following:

(1) The title, “Waiver of CAS Requirements”.

(2) Contract number, including modification number, if applicable, and program name.

(3) Contractor name.

(4) Contracting activity.

(5) Total dollar amount waived.

(6) Brief description of why the item(s) could not be obtained without a waiver.

(7) Brief description of the specific steps taken to ensure price reasonableness.

(8) Brief description of the demonstrated benefits of granting the waiver.